



Coca Cola provides stability in a portfolio with the downside being moderate returns.

Coca-Cola Enterprises Inc.

I. Equity Research Summary

■ Company Summary

The Coca-Cola company is one of the world’s leading refreshment companies, starting as just a perfect syrup, Coca-Cola came to expand to more than 200 brands and thousands of beverages worldwide. Coca-Cola aims to further diversify its portfolio beyond carbonated drinks to meet with changing consumer preferences, while leveraging AI and digital technologies to optimize operations

■ Company News

Coca-Cola announced that Tapaswee Chandele will become its new Global Chief Office, starting May 1st, 2026. She will replace Lisa Chang, who has served as CPO for several years but is stepping down and will remain with Coca-Cola in an advisory capacity throughout the rest of the year. This is a significant announcement because it shows the strategic importance of human capital leadership within a global corporation as Tapaswee Chandele is very familiar with Coca-Cola’s inner workings and has worked in multiple different departments including human resources. The Chief People Office has an important role in shaping the company’s workforce strategy, including recruitment, corporate culture and leadership development. Making Chandele a perfect fit for the role. This decision also highlights Coca-Cola’s stability and the continuity of its leadership structure. By selecting an executive with extensive experience within the company, it reduces disruptions and eases the transition period.

To conclude, the appointment reflects Coca-Cola’s continued internal leadership and shows its prioritization of human resources as a core component of its business strategy.

■ Qualitative Analysis

- **Mkt Cap: \$326, 986.5M.**
With a market capitalization of nearly \$327B, Coca-Cola is one the largest companies in the S&P index. This scale proves the strong global brand dominance and the company’s financial resilience in economic downturns.
- **Beta vs SPX: 0.43**
A beta of 0.43 means the company is less volatile in the market. It means KO moves 43 cents every \$1 movement in the market. This makes KO a defensive holding. It is valuable in +downturns but likely to lad during bull markets.
- **Debt/Assets: 45%.**
A debt ratio of 45% means that nearly half of Coca-Cola’s asset base is financed by debt. But this is not unusual for a consumer company with stable recurring cash flow.
- **Inv Turnover: 4.0.**
An inventory turnover of 4.0 times means Coca-Cola replaces its whole inventory every 3 months. This is efficient ratio indicating strong sales.
- **Gross Margin (GM): 61.6%.**
A gross margin of 61.6% is exceptionally strong because KO retains over \$0.61 of every dollar revenue. This proves the strong pricing power, making its position stronger in the market.

Avelyn Nguyen
minhanhnguyen@falcon.bentley.edu
Mercela Font
mfont@falcon.bentley.edu
Santiago Anacleto Lagunas
sanacletolagunas@falcon.bentley.edu
Sebastien Roques
sroques@falcon.bentley.edu

■ Stock Data (NYSE: KO)

Mkt Cap	\$326, 986.5M
Price	\$75.97
Est PE	23.48
Est EPS	3.24
Beta vs S&P500	0.43
Current Ratio	1.5

■ Earning Press Summary

Coca-Cola reported Q4 2025 net revenues of \$11.8 billion, up 2% year-over-year. On the bottom line, Q4 EPS grew 4% to \$0.53, while comparable (non-GAAP) EPS rose 6% to \$0.58. A notable detail was a non-cash impairment charge of \$960 million tied to the BODYARMOR trademark, which weighed heavily on reported operating income for the quarter.
For the full year, net revenues reached \$47.9 billion, up 2%, and comparable for a full-year comparable EPS of \$3.00, up 4%. Additionally, currency was a persistent pulling factor throughout the year, with an 8-point currency headwind impacting full-year reported EPS.
On a volume and operational basis, results were mixed but resilient. Global unit case volume grew 1% in Q4, led by Brazil, the United States, and Japan, while full-year volume was flat as growth in Central Asia and North Africa was offset by declines in Mexico and Thailand. A standout was Coca-Cola Zero Sugar, which grew 13% in Q4 and 14% for the full year, with gains across all geographic segments.



Coca-Cola Enterprises Inc.

II. Stock Recommendations Page

■ Stock Chart Analysis

Looking at the graph, we can conclude that Coca Colas stock always goes up, then drops and then slowly recovers. This patterns shows how the company reacts to both big world events and normal changes in the economy.

At the beginning the stock was going up. This makes sense because Coca Cola is a strong and very stable company. People will keep buying its product no matter what is happening with the economy so investors see it as a safe choice. Their strong brand and high profit margins also help keep the stock growing over time.

Then there is a noticeable drop in the stock price. This is most likely because of Covid 19 and other economic issues. During that time, Coca Cola was affected since a lot of its sales come from places like restaurants , stadiums and travel which where all shot down at the time. Besides that, inflation and higher interest rates made the whole stock go down.

After that drop, the stock starts to go back up again. This happens because things started reopening and demand came back. Coca Cola also adjusted by focusing more on products like Coke Zero Sugar and improving how it runs its business. As a result, investors started feeling more confident about their decisions in Coca Cola again.

Overall, the graph looks like this because Coca Cola is a low risk, stable company. Its stock doesn't jump up and down a lot like other companies. Instead it moves more slowly and at an equal paste. That's why even after a drop, it is able to recover over time.

■ Stock Recommendations: HOLD

The Coca-Cola company remains a textbook example of a high quality defensive company. Its large scale and global market provides such a high level of stability that few companies can match. It allows KO to perform consistently even during periods of economic downturns. The form benefits from predictable cash flows, a large profit margin and a good inventory turnover. The company's operational efficiency and disciplined financial structure further reinforce its resilience. While leverage is present, it is supported by predictable earnings, and liquidity remains sufficient to meet near-term obligations. Coca-Cola's relatively low sensitivity to broader market movements makes it particularly appealing for investors seeking reduced volatility and downside protection.

With that being said, the same characteristics that make Coca-Cola a safe and reliable investment also limits its potential during strong markets. As a consumer staple, KO's growth has been slow when compared to benchmarks like the S&P 500, only having a 37.01% total return over 5 years. The stock generates consistent returns but does not outperform during strong markets. Overall, Coca-Cola provides stability in a portfolio with the downside being moderate returns. It is best suited for long-term investors who have already invested in the stock and less for those interested to buy and seeking high growth. We recommend holding the stock.



Avelyn Nguyen

minhanhnguyen@falcon.bentley.edu

Mercela Font

mfont@falcon.bentley.edu

Santiago Anacleto Lagunas

sanacletolagunas@falcon.bentley.edu

Sebastien Roques

sroques@falcon.bentley.edu

■ Stock Data (NYSE: KO)

Mkt Cap	\$326, 986.5M
Price	\$75.97
Est PE	23.48
Est EPS	3.24
Beta vs S&P500	0.43
Current Ratio	1.5



Coca-Cola Enterprises Inc.

III. Statistics & Ratios Definition

■ Financial Ratios Analysis

Price (Px)

\$75.97. The current trading price of Coca Cola's stock.

Market Cap (Mkt Cap):

326.9 billion. Very large, shows strong global presence and financial stability in the consumer sector.

Price Earning ratios (P/E):

25.30. Investors are currently paying \$25.30 for every \$1 of the company's past 12 months of earnings. It reflects investors' expectations about the future performance of the company.

Estimated EPS (Est EPS):

Est EPS 3.24 means that market analysts, on average, are projecting the company to generate an estimated earnings per share of \$3.24 for a specific future period, most likely for the full year 2026.

12-month total return (12M Tol Ret):

12.69%. It means in the last 12 months, if you had invested in the stock one year ago and reinvested all dividend payments, your investment would have grown by 12.69% in total value.

Beta vs SPX:

0.43. The company is historically 56% less volatile than the overall S&P 500 index (SPX) (market) and perform more steadily during market change.

Return on Equity (ROE):

46.0%. It means that the company is very efficient at generating profit from shareholders investments. Each dollar invested, the company is generating roughly \$0.46 in annual profit.

Debt/Assets:

45.0%. It means that 45% total assets are financed by debt, the others are financed by equity

Current ratio:

1.5. It proves the company can cover its short-term liabilities and it has good liquidity

Inventory turnover (Inv Turnover):

4.0. Replace inventory about 4 times per year, showing efficient operations and strong product demand

Gross margin (GM):

61.6% . High margin means Coca Cola keeps a large portion of its revenue after production costs. It shows strong pricing power and brand strength. It means for each dollar generated in revenue, the company can keep \$0.62.

Avelyn Nguyen

minhanhnguyen@falcon.bentley.edu

Mercela Font

mfont@falcon.bentley.edu

Santiago Anacleto Lagunas

sanacletolagunas@falcon.bentley.edu

Sebastien Roques

sroques@falcon.bentley.edu

■ Stock Data (NYSE: KO)

Mkt Cap	\$326, 986.5M
Price	\$75.97
Est PE	23.48
Est EPS	3.24
Beta vs S&P500	0.43
Current Ratio	1.5



Coca-Cola Enterprises Inc.

IV. Appendix

Bloomberg Grabs

ProfileIssue InfoRatiosRevenue & EPSESG

COCA-COLA CO/THE

FIGI BBG000BMX289

BI Research Primer | BICO »

ClassificationNon-Alcoholic Beverages

The Coca-Cola Company manufactures, markets, and distributes soft drink concentrates and syrups. The Company also distributes and markets juice and juice-drink products. Coca-Cola distributes its products to retailers and wholesalers worldwide. ...

Price Chart | GP »

Px/Chg 1D (USD)75.97/-2.08%

52 Wk H (02/27/26)82.00

52 Wk L (09/29/25)65.3538

YTD Change/%6.06/8.67%

Mkt Cap (USD)326,986.5M

Shrs Out/Float4,304.2M/3,519.5M

SI/% of Float43.4M/1.23%

Days to Cover2.5

Estimates | EE »

Date(E)04/29/26

P/E25.30

Est P/E12/2623.48

T12M EPS (USD)3.00

Est EPS3.24

Est PEG3.24

Dividend | DVD »

Ind Gross Yield2.79%

SY Net Growth4.54%

Cash 03/13/260.53

Corporate Info

14 www.coca-colacompany.com

Atlanta, GA, US

Empls 65,900 (12/31/25)

15 Management | MGMT »

16 James R Quincey

Chairman/CEO

17 James R Quincey

Chairman

18 Henrique Gnani Braun

Chief Executive Officer

12M Tot Ret12.69%

Beta vs SPX Index0.43

21 Depository Receipts

Active Receipts6

Profile	Issue Info	Ratios	Revenue & EPS	ESG	
Fiscal Year End	12/2025				
Last Quarter End	12/2025 Q4				
Current/T12M	(USD)				
Issue Data	📈	Per Share Data	📈	Cash Flow Analysis	📈
Last Px	USD/75.97			P/CF	44.1
P/E	25.3	EPS T12M	3.00	Curr P/FCF	61.8
Dvd Ind Yld	2.8%	DPS	2.04	CF/Ni	0.6
P/B	10.16	Bk Val Per Sh	7.48	Dvd P/O	67.0%
P/S	6.8	Rev/Bas Sh	11.14	Cash Gen/Cash Reqd	0.7
Curr EV/T12M EBITDA	23.7	CPS	1.72	Csh Dvd Cov	1.5
Mkt Cap	326,986.5M	Curr Shares Out	4.3B	CFO/Sales	15.5%
Curr EV	360,500.5M	FCF/Basic Sh	1.23	Eff IR	3.6%
Growth Potential	📈	Profitability	📈	Structure	📈
Dil EPS Frm Cont Op 1...	4.8%	EBITDA	15.2B	Curr Ratio	1.5
Cap 1Y Gr	13.0%	EBIT	13.8B	Quick Ratio	0.9
BPS 1Y Gr	29.4%	OPM	28.7%	Debt/Assets	45.0%
R&D To Sl	0.0%	Prtx Mrgn	33.4%	Debt/Com Eq	146.8%
Retntn Rt	33.0%	ROA	12.8%	A/R Trnovr	14.5
Rev - 1 Yr Gr	1.9%	ROE	46.0%	Inv Turnover	4.0
Empl 1Y Gr	N.A.	ROC	18.9%	GM	61.6%
Ast 1Y Gr	4.2%	Ast TO	0.5	EBIT/Tot Int Exp	8.3

HOLD

- Avelyn Nguyen

minhanhnguyen@falcon.bentley.edu
- Mercela Font

mfont@falcon.bentley.edu
- Santiago Anacleto Lagunas

sanacletolagunas@falcon.bentley.edu
- Sebastien Roques

sroques@falcon.bentley.edu

Stock Data (NYSE: KO)

Mkt Cap	\$326, 986.5M
Price	\$75.97
Est PE	23.48
Est EPS	3.24
Beta vs S&P500	0.43
Current Ratio	1.5



Coca-Cola Enterprises Inc.

IV. Appendix

Citations

- 1. The Coca-Cola Company. (2026, February 10). Coca-Cola reports fourth quarter and full year 2025 results [Press release]. https://investors.coca-colacompany.com/_assets/21a1fde0eaf729cf43cb6530ca4f2225/cocacolacompany/db/880/11088/earnings_release/Coca-Cola+Q4+2025+Earnings+Release_Full+Release_2.10.26.pdf
- 2. Simply Wall St. "Is Coca-Cola (KO) Offering A Valuation Opportunity After Recent Share Price Strength." April 8, 2026. <https://simplywall.st/stocks/us/food-beverage-tobacco/nyse-ko/coca-cola/news/is-coca-cola-ko-offering-a-valuation-opportunity-after-recen>
- 3. The Coca-Cola Company Selects New Global Chief People Officer, Business Wire (Apr. 14, 2026) <https://www.businesswire.com/news/home/20260414291839/en/The-Coca-Cola-Company-Selects-New-Global-Chief-People-Officer>

HOLD

Avelyn Nguyen
minhanhnguyen@falcon.bentley.edu

Mercela Font
mfont@falcon.bentley.edu

Santiago Anacleto Lagunas
sanacletolagunas@falcon.bentley.edu

Sebastian Ortiz Lilon
sortizlilon@falcon.bentley.edu

Stock Data (NYSE: KO)

Mkt Cap	\$326, 986.5M
Price	\$75.97
Est PE	23.48
Est EPS	3.24
Beta vs S&P500	0.43
Current Ratio	1.5